NINJAS STEM FOUNDATION

Program Budgeting & Fund Allocation Policy

Financial Stewardship & Fundraising

Policy ID: NSF-BG-01	Status: Proposed — not adopted
Effective date: [Board to establish]	Publication: Public budgeting principles; live budgets and sensitive transactions remain internal

1. Purpose and guiding principle

The Foundation allocates available resources among its charitable programs according to mission, educational objectives, approved need, program capacity, existing obligations, and binding restrictions. Funds do not belong to the family that contributes them or to a team merely because it helped solicit them. Budget approvals and accounting codes do not create separate ownership rights.

2. Program portfolio and activity coding

The Board may operate or support multiple activities. For management accounting, classify each transaction first to a supported program and then to the expense type and source of funds. Illustrative categories, only where approved/active, are:

Program / cost center	Illustrative activities	Typical direct expenses
Competitive Robotics Education	Robotex Ninjas and other NSF-operated teams	Field parts, student instruction materials, approved registration, practice-related supplies
NSF Robotics Discovery	Library workshops, school demonstrations, Family Robotics Nights	Consumables, venue/teaching supplies, program transport or equipment
Team Mentorship	Educational support to independent developing teams	Approved teaching resources and session costs; not automatic grants to teams
STEM Academy / Camps	Approved multi-session classes or camps	Curriculum, instructors, sites, access/scholarship costs
Innovation Lab	Only if subsequently approved and launched	Research teaching materials, safety equipment, permitted services
Administration / Shared / Fundraising	Organization-wide support, management and development	Insurance, accounting, web hosting, fundraising costs; allocated as appropriate

Training and events are activities, not necessarily mutually exclusive budget programs. A library workshop may be education, outreach, training, and an event, but the same cost must not be entered four times. Maintain functional reporting of program services, management/general, and fundraising expenditures as applicable.

3. Annual planning and Board approval

Use NSF's September–August fiscal-year schedule unless the operative Bylaws change. Before the new fiscal year, each program lead submits the planned audience, learning outcomes, proposed schedule, staffing, equipment, risk/safety needs, anticipated expenses, existing restricted support, potential revenue, and measurable outputs.

The Treasurer consolidates program requests and shared administrative needs; identifies restricted versus available unrestricted resources; evaluates projected cash flow, existing liabilities, equipment needs, and reserves; and presents options to the Board. The Board approves program budgets, annual funding targets, material commitments, and any

proposed spending delegations through valid action. Where adoption is delayed, only previously authorized commitments may continue under applicable rules.

4. Basis for allocation and fair access

Program funding should reflect actual educational purpose and reasonable support needs rather than automatic equal division by family or competition team. Consider student reach and learning opportunities, equipment sharing, cost per program, community access, equity, safety, readiness, and long-term sustainability. Competition education may serve the mission directly but is not automatically justified merely by an unverified hope of future outreach.

NSF shall not allocate restricted gifts beyond their binding terms or create individual family fundraising credits. Financial aid, scholarships, fee waivers, and equipment assistance—when offered—shall follow separately approved criteria and actual capacity, with material conflicts reviewed. A team or family may not demand a proportional share of the Foundation's funds on withdrawal.

5. Shared costs, capital assets, and restricted funds

Allocate expenses directly when a single program is responsible. Where multiple programs benefit, select a reasonable, supportable method such as documented equipment use, event hours, or identifiable program participation. Record the rationale, calculation, and reviewer. Do not allocate the same total cost more than once. Capitalization and depreciation decisions follow the accountant's applicable policies and do not change ownership.

Maintain a restriction register separate from Board designations. A legally restricted gift does not become unrestricted when a budget changes. NSF may not transfer funds from a program-specific restricted gift to another purpose without a lawful basis and, where applicable, donor agreement or an authorized modification process.

6. Budget transfers, variances, and forecasts

The Board shall approve a written transfer and variance schedule. Program leads may propose transfers but do not possess authority solely by asking. A transfer may not evade a purchase threshold or binding restriction. At least quarterly, program leads explain material differences from approved budgets; the Treasurer reports actual results, outstanding commitments, funds available, and forecast remaining costs.

Suggested materiality and transfer controls — Board choice

Situation	Proposed approach	Document
Routine expenditure within approved ceiling and scope	Named purchaser may act under approved financial-authority matrix	Transaction + receipt
Small transfer within a program cost center	Designated finance approvers within explicit ceiling	Budget transfer log
Cross-program transfer or material variance	Board action if over designated transfer threshold	Board motion/resolution and revised budget
Any transfer involving restricted funds	Only within legally permitted purpose; otherwise obtain required modification	Restriction review and legal approval

The Board must insert its chosen percentage/dollar thresholds into the authority schedule. These categories do not supply independent approval authority without adoption.

7. Teams, programs, and organizational boundaries

NSF's internal program ledger may identify a specific operated team, but that is a cost center—not a separate corporation or private asset pool. A mentored independent team is not automatically a Foundation-operated team. A new operated team must be admitted through a separate approved arrangement covering its finances, assets, registration, adults, insurance, and withdrawal/transition terms.

8. Impact measurement and financial transparency

Pair financial data with evidence of education delivered: programs completed, people reached with clear counting method, cities served, repeat partners, mentorship sessions, student/adult volunteer hours, and program outputs. Preserve source

records, including sign-in aggregates when appropriately collected. Avoid inflating cumulative metrics or reporting unverified targets as actual results.

Prepare a truthful annual community and financial summary, separate from the Foundation's actual IRS return or notice. Disclose only information appropriately authorized for publication, and honor lawful records inspection/disclosure obligations.

9. Review and effective date

The Board shall review this Policy and the applicable budget process periodically. The Policy applies prospectively and does not create or extinguish rights under earlier family payment or participation arrangements.

Selected governing and drafting references

These references inform the draft. Other-state peer practices are illustrative only; they are not Texas legal requirements. Applicable law and the Foundation's validly adopted Certificate and Bylaws control.

IRS functional expense reporting: https://www.irs.gov/instructions/i990

Texas nonprofit records and annual reports: https://tcss.legis.texas.gov/resources/BO/htm/BO.22.htm

Texas restricted institutional funds: https://tcss.legis.texas.gov/resources/PR/htm/PR.163.htm